



Assignment No:2

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TRADE SECRET

Company Name: *KFC(Kentucky Fried Chicken)*



History:

- **Founding:** Established by **Colonel Harland Sanders** during the Great Depression, selling fried chicken from a roadside restaurant in **Corbin**, Kentucky.

- **First Franchise:** Opened in 1952 in **Salt Lake County**, Utah, pioneering fast-food franchising.

- **Expansion and Branding:** Popularized fried chicken in the fast-food industry, challenging the dominance of **hamburgers**. Colonel Sanders became an iconic figure, his image central to KFC's branding.

- **Ownership Changes:**

- **1964:** Sold to investors led by **John Y. Brown Jr.** and **Jack C. Massey**.
- **1970s-1980s:** Ownership passed through **Heublein**, **R. J. Reynolds**, and **PepsiCo**.
- **1997:** PepsiCo spun off its restaurants division as **Tricon Global Restaurants**, which rebranded as **Yum! Brands** in 2002. **Yum!** has focused on global growth, proving more effective than PepsiCo.
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- **International Growth:**

- **By the mid-1960s**, outlets opened in Britain, Mexico, and Jamaica.
- **1987:** Became the first Western fast-food chain in China.

Recipe: *It is a recipe.* KFC's "Original Recipe" chicken is famous for its 11 secret herbs and spices, but the exact formula is a well-kept secret.

Important Measure Taken To keep the Recipe secret:

KFC employs a series of strict measures to ensure the secrecy of its iconic recipe for the 11 herbs and spices. These measures are designed to protect the recipe from being leaked, copied, or compromised, thereby preserving its value as a key element of KFC's brand identity. Here are the critical steps taken:

- **Vault Storage:** The original recipe is stored in a high-security vault at KFC's headquarters. The vault itself is equipped with multiple layers of protection, including:

- A steel door with three separate locks.
- A filing cabinet inside the vault that has two combination locks.

- **Limited Access:** Only a few select individuals, referred to as "keepers of the recipe," are authorized to access the vault and the recipe.

- **The Recipe Itself:** A single, yellowed sheet of notebook paper, written in pencil and signed by Colonel Sanders, holds the original formula, complete with precise measurements and all ingredients.

Need-to-Know Basis: The full recipe is not shared with any one person. To maintain secrecy:

- The list of ingredients is divided among different suppliers, meaning no single supplier has access to the entire blend.
- Only a handful of trusted employees at the highest levels of the organization know the full recipe.

Blending Process: The herbs and spices are blended in a way that prevents anyone from reverse-engineering the exact recipe:

- Ingredients may be partially processed or coded before they are mixed.
- Suppliers do not know how their specific ingredient fits into the larger formula.

Non-Disclosure Agreements (NDAs): Employees and contractors with access to sensitive information are required to sign strict NDAs to prevent them from revealing any proprietary details.

Trademark and Trade Secret Laws: The recipe is protected under intellectual property laws as a trade secret, which gives KFC the legal right to take action against any potential breaches.

Security Assessments: The measures to protect the recipe are reviewed and updated periodically to ensure they stay ahead of any technological advancements that could threaten its secrecy.

Attempt in the past to reveal the recipe:

1. A Chicago Tribune Discovery (2016)

- **What Happened:** A reporter from the Chicago Tribune visited a nephew of Colonel Sanders, who showed a scrapbook containing a handwritten recipe. The recipe listed 11 herbs and spices with exact measurements, sparking speculation that it might be the original formula.
- **KFC's Response:** KFC denied the authenticity of the recipe, stating that while many have tried to replicate it, none have come close. They emphasized that the original recipe remains secure in its vault.

2. Attempts by Competitors and Copycats

- **What Happened:** Over the years, rival companies and home chefs have tried to recreate the recipe, using trial-and-error methods or alleged insider information. Some of these attempts gained media attention, claiming to have "cracked the code."
- **KFC's Response:**
 - The company has consistently maintained that none of these attempts are accurate.
 - They highlight the recipe's "surprises" and proprietary preparation methods that go beyond just the ingredient list.
 - KFC's mystique around the recipe acts as a deterrent, emphasizing that the true recipe is irreplicable.

3. Recipe Variants in Public Circulation:

- **What Happened:** Variants of the KFC recipe circulate online and in cookbooks, often purporting to be "**the real thing.**"
- **KFC's Response:** The company has not publicly pursued legal action against every claim but has maintained that the recipe's true formulation includes proprietary methods and ingredient combinations that others cannot replicate.

How KFC Handles Such Attempts

1. **Public Denials:** KFC is quick to reassure the public that the real recipe is safe, emphasizing the security measures in place.
2. **Legal Action:** In cases where individuals or companies might profit from these claims, KFC may resort to lawsuits or cease-and-desist orders.
3. **Brand Narrative:** KFC leans into the mystique surrounding the recipe, turning the secrecy into a marketing strength that adds to its allure.

KFC's strict security protocols and the mystique surrounding the recipe ensure that even if a claim garners attention, it doesn't damage the brand's image. Instead, these incidents often reinforce the narrative of the recipe's value and exclusivity.